

How do bonds work?

Bondholders effectively buy a slice of a larger loan with each bond, for which they receive interest, along with the original sum on maturity. Issuing, buying, and selling bonds takes place in the debt capital market. The marketplace has several functions: it offers bonds and other types of loans to investors; it operates as a fixed-income market, because the issuer is required to pay regular interest; and it enables companies and governments to raise long-term funds. Overall, the debt capital market is much larger than the stock exchange (equity capital market), where shares are bought

and sold. It attracts investors because bonds provide more protection from risk than shares. There are various types of bonds, some safer than others—the risk lies in whether the issuer will be able to pay the interest and repay the principal sum on maturity. A secured bond is backed by an asset, such as property; an unsecured bond is not and so carries more risk.

Both bonds and shares may be referred to as securities. The term describes the share or bond itself, and the certificate of ownership or creditorship that gives the holder the right to receive a dividend, in the case of shares, or interest payments, in the case of bonds.

NEED TO KNOW

- › **Debt instrument** Official term for bond or other long-term debt
- › **Convertible bond** Bond that can be converted into shares of the issuing company, or cash
- › **Warrant** Security that allows the holder to buy stock in a company at a fixed price for a certain period of time
- › **Callable bond** Bond that gives the issuer the right to redeem it before maturity
- › **Non-callable bond** Bond that cannot be redeemed or sold back to the issuer before maturity but continues to provide interest

Investing in the debt capital market

A company wants to raise \$100 million to finance growth but does not wish to issue further shares. Instead, it raises the money by issuing bonds on the debt capital market.

